TENTATIVE RULINGS FOR July 2, 2026
Department R-14
BEFORE THE HONORABLE TONY RAPHAEL
(909) 285-3717

ATTENTION: Commencing December 10, 2022, the Court will no longer regularly provide an official Court Reporter to transcribe proceedings in this Department. Parties who wish to have an official record of the proceedings in addition to a minute order must retain a private Certified Shorthand Reporter for the hearing and must submit a "Stipulation and Order For Appointment of Official Reporter Pro Tempore" to the court in the form found on the Court's website. If counsel are appearing for the hearing remotely, the Stipulation can be emailed to the Judicial Assistant for Department R-14 at SScott@sb-court.org. The Court may sign the Order appointing the Certified Shorthand Reporter as the official Court Reporter Pro Tempore. Parties who do not retain a Certified Shorthand Reporter to be designated as an official Court Reporter Pro Tempore are deemed to have waived an official Court Reporter for the proceeding.

PLEASE REFER TO THE GENERAL ORDERS AND FORMS POSTED ON THE COURT'S WEBSITE.

PLEASE NOTE: There may be multiple tentative rulings so view the entire document.

This Court follows California Rules of Court, rule 3.1308(b) for tentative rulings. (See San Bernardino Superior Court Local Emergency Rule 8.) Tentative rulings are posted on the court's website after 3:00 p.m. the day before the hearing at https://www.sb-court.org/divisions/civil/civil-tentative-rulings.

You may appear in person or by remote appearance at the hearing. (See www.sb-court.org/general-information/remote-access) If you do not have Internet access you may obtain the tentative ruling by calling the department at 909-285-3717. If you (or both parties) wish to submit on the Tentative, notify the other party and call the department by 4:00 p.m. the day before and your appearance may be excused unless the Court orders you to appear.

You must appear at the hearing if you are so directed by the court in the tentative ruling and be prepared to address those issues set forth by the court in its ruling.

UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF RULING

DL VENTURE MONTCLAIR, LLC

v.

MINTSHOW INTERNATIONAL, LLC

CIVRS2510934

Factual and/or Procedural Context

This is a breach of contract action involving a shopping center named the Montclair Shopping Center (Center). On December 17, 2025, Plaintiff DL Venture Montclair, LLC (Plaintiff) filed a Complaint against Defendant Mintshow International, LLC (Defendant) alleging the following nine causes of action:

(1) Fraud and Deceit;
(2) Breach of Contract;
(3) Breach of Fiduciary Duty;
(4) Self-Dealing;
(5) Unjust Enrichment;
(6) Declaratory Relief;
(7) Accounting;
(8) Injunction; and
(9) Removal of Manager.

Plaintiff alleges it is the owner of the largest and host tenant, Best Buy, as the anchor tenant, which is required to pay 68% of the common area expenses. Defendant is the owner of a smaller building, which is divided into multiple smaller units with less than 50% occupancy and is currently vacant. Center's purpose is and was for the mutual benefit of the four property owners in the Center. Center collects common area maintenance expenses (CAM) charges and pay the vendors. The estimated CAM charges would be returned to pro-rata to the owner entities if less was spent at the end of the year. This is not what occurred or is occurring. (Compl. ¶¶ 8-9.)

It is further alleged that Defendant acting as the sole manager of, and is in complete control over, Center. Defendant and Center have now become nearly one and the same. Therefore, Defendant bills the other three owner entities directly for all CAM, determines the estimated CAM amounts, prepares the reconciliations and charges a 10% fee for all CAM charges to the shopping center. Defendant bills itself and the other owners without sharing it's billing with the other entities. Also, Defendant hired a manager to manage the property without the consent of the other three owners in direct violation of the agreement between the parties. (Compl. ¶ 10.)

Center's common area maintenance manager, the Defendant, breached its fiduciary duties committed fraud resulting in damages to Center and Plaintiff. As an example, Defendant hired security services to protect its mostly vacant building from vagrants only to charge all of the entity owners for the security services as a CAM that only benefitted Defendant. In addition, Defendant has engaged in (a) improper charges to the reserve in violation of the CC&Rs; (b) failed to provide annual reconciliation statements and estimates in a timely manner; (c) provide improper estimates and enforce monthly charges in violation of CC&Rs; (d) imposed improper and unauthorized CAM charges; and (e) failed to promptly notify property owners of changes to property management. (Compl. ¶ 11.)

Now before the Court is Defendant's general and special demurrer to Plaintiff's first through sixth and ninth causes of action and motion to strike allegations from Plaintiff's Complaint concerning Center. Plaintiff filed oppositions. Defendant filed replies.

DISCUSSION AND ANALYSIS

Good Faith Meet and Confer:

Before filing a demurrer and moving to strike, the moving party shall meet and confer, at least 5 days before a responsive pleading is due, in person or by telephone, with the opposing party to see if a resolution can be reached on the objections to the pleading. (Code Civ. Proc., §§ 430.41, subd. (a), and 435.5, subd. (a)(1)-(2).) With the demurrer and strike motion, the moving party shall submit a declaration stating (a) how the parties met and conferred and no resolution was reached, or (b) the opposing party failed to respond to the demurring party's meet and confer requests or failed to meet and confer in good faith. (Code Civ. Proc., §§ 430.41, subd. (a)(3), and 435.5, subd. (a)(3).)

Defendant has filed the declarations of attorney Vigen Stepanyan reflecting compliance with the meet and confer requirements of sections 430.41 subdivision (a)(3) and 435.5, subd. (a)(3) prior to filing its demurrer and motion to strike. (Stepanyan Decls. ¶¶ 2-3, Exh. 1.)

Authority for Demurrer:

A demurrer can be used only to challenge defects appearing on the face of the pleading under attack, or from matters outside the pleading which are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The face of the complaint includes matters shown in exhibits attached to the complaint and incorporated by reference. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94.) No other extrinsic evidence can be considered. (*Ion Equipment Corp. v. Nelson* (1980) 110 Cal.App.3d 868, 881.)

For the purpose of testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded, i.e., ultimate facts alleged, but not contentions, deductions, or conclusions of fact or law. (*Adelman v. Associated Int'l. Ins. Co.* (2001) 90 Cal.App.4th 352, 359.)

A general demurrer challenges a complaint for failure to state a cause of action under Code of Civil Procedure section 430.10, subdivision (e). It is granted only where the facts alleged on the face of the complaint fail to state any valid claim entitling the plaintiff to relief against the demurring defendant.

A complaint may also be challenged on demurrer for uncertainty. (Code Civ. Proc., § 430.10, subd. (f).) A special demurrer for uncertainty is sustained only where the complaint is unfairly vague or so ambiguous or unintelligible the defendant cannot reasonably respond i.e., determine the issues to be admitted or denied. (*Khoury v. Maly's of Calif., Inc.* (1993) 14 Cal.App.4th 612, 616.) "A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (*Id.*)

If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) On the other hand, "a trial court does not abuse its discretion by sustaining a general demurrer without leave to amend if it appears from the complaint that under applicable substantive law there is no reasonable possibility that an amendment could cure the complaint's defect." (*Heckendorn v. City of San Marino* (1986) 42 Cal.3d 481, 486.)

<u>Analysis</u>:

Defendant's Demurrer for Uncertainty Pursuant to Code of Civil Procedure section 430.10, subdivision (f):

The court ***overrules*** Defendant's Demurrer to Plaintiff's Complaint on the grounds of uncertainty because, based upon a review of Plaintiff's Complaint and taking the allegations of Plaintiff's Complaint as a whole, Plaintiff's Complaint is not so vague or so ambiguous or unintelligible that Defendant cannot reasonably respond or determine the issues to be admitted or denied, and any uncertainties can be ascertained in discovery.

Plaintiff's First Cause of Action for Fraud and Deceit:

The elements of intentional misrepresentation are: "(1) a false representation, actual or implied, or the concealment of a matter of fact, material to the transaction, made falsely; (2) knowledge of the falsity, or statements made with such disregard and recklessness that knowledge is inferred; (3) intent to induce another into relying on the representation; (4) reliance by one who has a right to rely; and (5) resulting damage." (*Pearson v. Norton* (1964) 230 Cal.App.2d 1, 7.)

"[T]he elements of an action for fraud and deceit based on concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage." (*Lovejoy v. AT&T Corp.* (2004) 119 Cal.App.4th 151, 158 (*Lovejoy*).)

“Concealment is a term of art which includes mere nondisclosure when a party has a duty to disclose.” (*Lovejoy, supra*, 119 Cal.App.4th at p. 158.)

Defendant argues that the fraud claim lacks specificity and fails to plead reliance.

First, the misrepresentation is specifically identified. The Complaint alleges that, beginning in or about January 2022, Defendant hired security services for its own vacant parcel and then represented to the owners that the service was “for the benefit of Center and all of the common areas,” in order to shift its private expense onto the other owners. (Compl. ¶¶ 30 & 46.) Defendant knew them to be false and made them with the intention to deceive and defraud Plaintiff and to induce Plaintiff to act in reliance. (Compl. ¶ 47.) That is the “how, when, where, to whom, and by what means” the rule in *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645, requires.

Second, the specificity requirement is relaxed here. The rule of particularity is not applied mechanically where, as here, the defendant must necessarily possess full information. (*Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 217; *Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 158.) Defendant is the sole manager in exclusive control of the books, vendor contracts, and billing for the Center and for the common area. (Compl. ¶¶ 28, 31, and 39.) The identities of the individuals who prepared and transmitted the statements, and the precise dates of each billing, are matters presumptively within Defendant’s knowledge Plaintiff should not be required to plead, with the manager’s own internal detail, facts the manager alone possesses and has refused to disclose despite repeated demands. (*Thrifty Payless, Inc. v. The Americana at Brand, LLC* (2013) 218 Cal.App.4th 1230, 1242, 160 Cal.Rptr.3d 718, 728 (the court held that the tenant sufficiently pleads the fraud claim as against shopping center landlord in connection with its charge of CAM, including reasonable reliance and misrepresentation, which is strikingly similar to this case).)

Third, Plaintiff pleaded sufficient reliance. The Complaint alleges that Plaintiff was induced to, and did, pay the improperly imposed CAM charges, including security service charges, resulting in quantified damages. (Compl. ¶¶ 35-38 and 47-48.) (*Thrifty Payless, Inc. v. The Americana at Brand, LLC* (2013) 218 Cal.App.4th 1230, 1242.)

Defendant's attack on the "information and belief" reference to "other nefarious conduct" (Compl. ¶ 45) does not reach the cause of action, which is anchored in the specifically pleaded fraud claim. A demurrer does not lie to a portion of a cause of action. (*PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682-1683.)

Therefore, the Court ***overrules*** Defendant's demurrer to Plaintiff's first cause of action for fraud and deceit.

Plaintiff's Second Cause of Action for Breach of Contract:

"It is hornbook law that the essential elements to be pleaded in an action for breach of contract are: (1) the contract; (2) plaintiff's performance of the contract or excuse for nonperformance; (3) defendants' breach; and (4) the resulting damage to plaintiff." (*Lortz v. Connell* (1969) 273 Cal.App.2d 286, 290.)

Here, the contract is the recorded CC&R, attached to the Complaint, which binds Defendant as a successor-in-interest and as the Center's Manager. (Compl. ¶¶ 16-17 & 50-51, Exh. A.) Contrary to the Demurrer's assertion that Plaintiff never identifies the breaching conduct, the Complaint points out that the CC&R provides for on-site security to be provided only for the Common Area, yet Defendant hired security for its vacant space in its own building without providing security for the remaining buildings, yet charged all four parcel owners.

(Compl. ¶¶ 52-53.) The Complaint further alleges breach by improperly charging reserve fees and charges in violation of the CC&R's estimate-and-reconciliation provisions (Article IV), and by failing to provide the required annual estimates and reconciliations. (Compl., ¶¶ 28-38.) Plaintiff also pleaded resulting damages. (Compl. ¶ 55.)

Therefore, the Court ***overrules*** Defendant's demurrer to Plaintiff's second cause of action for breach of contract.

Plaintiff's Third Cause of Action for Breach of Fiduciary Duty and Fourth Cause of Action for Self-Dealing:

In order to plead a cause of action for breach of fiduciary duty, the plaintiff must show the existence of a fiduciary relationship, its breach, and damage proximately caused by that breach. (*Oates v. City of Lincoln* (2001) 93 Cal.App.4th 25, 35.; *City of Atascadero v. Merrill Lynch, Pierce, Fenner & Smith* (1998) 68 Cal.App.4th 445, 483.)

Defendant argues that the CC&R is a mere "arm's length" agreement that creates no fiduciary duty. Such argument depends on a disputed interpretation of the contract and a series of inferences drawn in Defendant's favor. However, on demurrer, the Court must draw those inferences in Plaintiff's favor. (*Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 967.)

As acknowledged by Defendant in its moving papers, a fiduciary or confidential relationship arises "where a person reposes trust and confidence in another and the person in whom such confidence is reposed obtains control over the other person's affairs." (*Recorded Picture Co. v. Nelson Entertainment, Inc.* (1997) 53 Cal.App.4th 350, 370.) A fiduciary duty also arises where one party knowingly undertakes to act on behalf of and for the benefit of another. (*City of Hope Nat. Medical Center v. Genentech, Inc.* (2008) 43 Cal.4th 375, 386.)

Here, the Complaint alleges such a relationship: as sole Manager, Defendant collects, holds, and administers the other owners' money, controls the common areas, unilaterally sets and reconciles their charges, and is obligated to act "for the mutual benefit of all parcel owners" with "utmost loyalty, due care, disclosure, good faith and fair dealing." (Compl. ¶¶22, 24, and 57-58.) A managing party that collects and disburses other owners' funds in managing another owner's properties, occupies a position of trust and control, i.e. a fiduciary.

Critically, whether a confidential or fiduciary relationship exists is "a question of fact" that cannot be resolved on demurrer. (*Persson v. Smart Inventions, Inc.* (2005) 125 Cal.App.4th 1141, 1161; *Tri-Continent Internat. Corp. v. Paris Savings & Loan Assn.* (1993) 12 Cal.App.4th 1354, 1359.) The various contractual powers Defendant recites do not negate that relationship; at most they create a factual dispute about the nature of the parties' dealings, to be resolved on a developed record.

Self-dealing is a recognized theory of breach of fiduciary duty and is independently pleaded. Defendant argues that the fourth cause of action for self-dealing merely duplicates the third cause of action. But duplication is not a ground on which a demurrer must be sustained where the cause of action otherwise states a claim, and the Court may simply treat the label as the theory it describes. The fourth cause of action pleads the specific self-dealing transaction at the heart of this case: Defendant, as a fiduciary, caused the owners to pay for security obtained for its own vacant premises - "self-dealing by improperly charging Center for their own personal benefit and gain." (Compl. ¶¶ 65-67.) That states a claim for breach of the duty of loyalty.

Therefore, the Court ***overrules*** Defendant's demurrer to Plaintiff's third cause of action for breach of fiduciary duty and fourth cause of action for self-dealing.

Plaintiff's Fifth Cause of Action for Unjust Enrichment:

The elements for a claim of unjust enrichment are receipt of a benefit and unjust retention of the benefit at the expense of another. (*Lectrodryer v. SeoulBank* (2000) 77 Cal.App.4th 723, 726.)

Unjust enrichment is not a cause of action, however, or even a remedy, but rather a general principle, underlying various legal doctrines and remedies. (*Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 231.) It is synonymous with restitution. (*Ibid.*) It is construed as a quasi-contract claim seeking restitution. (*Id.* at pp. 231-232.)

Defendant argues that the existence of the CC&R bars a quasi-contract claim. But a plaintiff is expressly permitted to plead inconsistent and alternative theories, including breach of an express contract and quasi-contract, and may do so even where the two cannot ultimately both succeed. (*Klein v. Chevron U.S.A., Inc.* (2012) 202 Cal.App.4th 1342, 1388-1389 (*Klein*); *Mendoza v. Continental Sales Co.* (2006) 140 Cal.App.4th 1395, 1402 [alternative and inconsistent pleading permitted].)

Quasi-contractual restitution is available where the conduct falls outside the contract, or where the contract is unenforceable, void, or its coverage of the conduct is disputed. (*Klein, supra*, 202 Cal.App.4th at pp. 1388-1390.) Here, Defendant itself disputes that the CC&R authorized the charges at issue and contends the manager owes no enforceable duty, precisely the circumstance in which an alternative quasi-contract count is proper. Whether Plaintiff will ultimately elect contract or restitution is a matter for trial, not the pleadings. At the demurrer stage, dismissing the alternative count is premature.

Therefore, the Court ***overrules*** Defendant's demurrer to Plaintiff's fifth cause of action for unjust enrichment.

Plaintiff's Sixth Cause of Action for Declaratory Relief:

Any person who desires a declaration of his or her rights or duties with respect to another, or in respect to, in, over or upon property may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action or cross-complaint for a declaration of his or her rights and duties in the premises. (Code Civ. Proc., § 1060.) The fundamental basis of declaratory relief is the existence of an actual, present controversy over a proper subject. (*City of Cotati v. Cashman* (2002) 29 Cal.4th 69, 79.) A complaint for declaratory relief is legally sufficient if it sets forth facts showing the existence of an actual controversy relating to the legal rights and duties of the respective parties under a written instrument and requests that these rights and duties be adjudged by the court. (*Maguire v. Hibernia Savings & Loan Soc.* (1944) 23 Cal.2d 719, 728.)

As plead, the controversy here is ongoing. The parties have a continuing relationship under the CC&R, and Defendant continues, month after month, to issue CAM estimates and billing statements, to charge the disputed security and reserve costs, and to collect a 10% fee - while Plaintiff continues to dispute whether it owes those amounts going forward. (Compl. ¶¶ 35-38, and 76.)

A declaration of the parties' prospective rights and obligations under the CC&R, whether the security charges are proper common-area expenses, and whether Plaintiff owes the disputed dues would "govern the future conduct of the parties," is permissible even amid an alleged breach. (*Osseous Technologies of America, Inc. v. DiscoveryOrtho Partners LLC* (2010) 191 Cal.App.4th 357, 364–366, 372.)

Therefore, the Court ***overrules*** Defendant's demurrer to Plaintiff's sixth cause of action for declaratory relief.

Plaintiff's Ninth Cause of Action for Removal of Manager:

Defendant's entire attack on the ninth cause of action is built on the receivership statutes - principally Code of Civil Procedure section 566, subdivision (a), which provides that a party cannot be appointed receiver. But the gravamen of this cause of action is the removal and replacement of a self-dealing manager, an equitable remedy. The appointment of a receiver is pleaded only as an alternative, as the court may deem proper. (Compl. ¶ 87.)

Because the demurrer must be overruled if any relief is available on the facts pleaded (*Sheehan v. San Francisco 49ers, Ltd.* (2009) 45 Cal.4th 992, 998), Defendant's objections to one form of relief do not defeat the claim.

First, Plaintiff alternatively asks the Court to appoint a receiver "as the court may deem proper," which section Code of Civil Procedure section 566, subdivision (a) permits. Plaintiff did not ask the Court to appoint Plaintiff as a receiver. The bar on a party serving as receiver says nothing about the Court's power to remove a manager who is breaching its duties. Second, the court possesses equitable authority, and Code of Civil Procedure section 564, subdivision (b)(9) authorizes the appointment of a receiver "in all other cases where necessary to preserve the property or rights of any party." (Compl. ¶ 85.) The Complaint alleges years of "neglect, mismanagement and self-dealing" by a manager who controls the owners' funds and refuses to account, which support equitable intervention. (Compl. ¶¶ 86-87.)

Whether the Court ultimately removes Defendant, appoints a neutral receiver, or grant some other relief is a question for the proof, not the pleadings.

Therefore, the Court ***overrules*** Defendant's demurrer to Plaintiff's ninth cause of action for removal of manager.

Authority for Motion to Strike:

Code of Civil Procedure section 436, subdivision (a) states that matters that are "irrelevant, false or improper" are subject to a motion to strike. "Irrelevant" means any immaterial allegation in the complaint. Code of Civil Procedure section 431.10, subdivision (b) defines an immaterial allegation as any of the following:

(1) An allegation that is not essential to the statement of a claim or defense.

(2) An allegation that is neither pertinent to nor supported by an otherwise sufficient claim or defense.

(3) A demand for judgment requesting relief not supported by the allegations of the complaint or cross-complaint.

Additionally, all or part of a pleading that is not drawn or filed in conformity with the laws of this state, a court rule, or order of the court may be stricken. (Code Civ. Proc., § 436, subd. (b).)

The grounds to strike shall appear either on the face of the challenged pleading or from matters that are judicially noticed. (Code Civ. Proc., § 437.) Additionally, the court reads the allegations as a whole, with all parts in their context, and assumes their truth. (*Spielholz v. Superior Court* (2001) 86 Cal.App.4th 1366, 1371; *Clauson v. Superior Court* (1989) 67 Cal.App.4th 1253, 1255.)

Defendant's Motion:

Defendant seeks to strike the following allegations based upon Plaintiff's lack of standing to represent the Center for damages incurred:

(1) **Page 4, ¶ 11, line 9:** "resulting in damages to Center."

(2) **Page 9, ¶ 46, line 7:** "caused Center . . . to suffer financial damages."

(3) **Page 11, ¶ 60, line 4-5:** "By the conduct alleged herein, Defendants repeatedly breach their fiduciary duties to . . . Center."

(4) **Page 11, ¶ 62, line 9-10:** "Center . . . have suffered damages in an amount to be proven at trial."

Defendant's argument is not a motion to strike argument at all. Its sole theory is that Plaintiff is not the "real party in interest" and lacks "standing" to assert damages belonging to the Center, which is a challenge to the legal sufficiency of the claims, which may be raised only by demurrer. A motion to strike cannot be used as a second demurrer to litigate standing.

Further, to the extent Defendant asserts the allegations are "false," that contention asks the Court to disregard the well-pleaded allegations of the Complaint, weigh competing facts, and decide the merits at the pleading stage. On a motion to strike, the Court must assume the truth of the Complaint's allegations and may not consider extrinsic evidence.

Therefore, the Court ***denies*** Defendant's motion to strike in its entirety.

CONCLUSION

Based on the foregoing, the Court rules as follows:

(1) ***OVERRULES*** Defendant's Demurrer to Plaintiff's Complaint on the grounds of uncertainty, ambiguity, and unintelligible pursuant to Code of Civil Procedure section 430.10, subdivision (f);

(2) ***OVERRULES*** Defendant's demurrer to Plaintiff's first-sixth and ninth causes of action;

(3) ***DENIES*** Defendant's motion to strike; and

(4) ***ORDERS*** Defendant to file an answer to Plaintiff's Complaint within 20 calendar days from the date of this ruling.

Plaintiff's counsel is ordered to provide notice.

IT IS SO ORDERED